

WEEKLY MACRO · MICRO · GEOPO BRIEF

Week of June 2 to June 6, 2026

Generated Sunday, May 31, 2026 at ~12:00 CET by Merton*

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PART 1 - GLOBAL MACRO

1.1 CENTRAL BANKS & MONETARY POLICY

Federal Reserve (USD)

The Fed is navigating turbulent waters this week. With the release of **ISM Manufacturing PMI** (consensus 53.3 vs previous 52.7), **ISM Services PMI** (consensus 53.8 vs 53.6), **JOLTS Job Openings** (consensus 6.87M vs 6.87M), **ADP** (consensus 116K vs 109K), and above all **NFP** on Friday (consensus 95K vs previous 115K), employment data will be the major catalyst of the week. The market is pricing via Polymarket nearly 0% chance of a 50+ bps cut in June - the status quo dominates. Several FOMC members speak this week: **Powell** (Monday), **Kashkari** (Tuesday), **Hammack** (Tuesday), **Barr** (Wednesday & Saturday), **Logan** (Wednesday), **Barkin** (Thursday), **Daly** (Thursday). The **Beige Book** on Wednesday at 20:00 CET will be scrutinized to assess the health of the real economy. The US yield curve is easing (10Y at 4.45%, -8.9bps) - the market is anticipating a pivot sooner than expected. The **Final Manufacturing PMI** released Monday should confirm resilience at 55.3.

European Central Bank (EUR)

The Eurozone will release its **CPI Flash Estimate** on Tuesday (consensus 3.3% y/y vs previous 3.0%, core 2.4% vs 2.2%). An upside inflation surprise could delay the next ECB cut. **Lagarde** speaks on Thursday - her post-meeting doctrine will be decisive for the direction of the deposit rate. The **Final Manufacturing PMI** for the Eurozone on Monday at 51.4 (stable) and the **Services PMIs** on Wednesday confirm a fragile but marginally expanding economy. PPI on Wednesday (consensus 0.5% m/m vs previous 3.4%) - a sharp decline expected. Unemployment stable at 6.2%. Germany will show disappointing manufacturing PMIs (49.9), confirming the industrial recession. M3 Money Supply (3.1% y/y vs 3.2%) shows moderate monetary tightening.

Bank of Japan (JPY)

*Ueda **speaks on Wednesday - the market is looking for signals on YCC policy normalization. The 10Y Bond Auction on Tuesday (previous 2.54%, record 3.9%) will be crucial to assess demand at these rate levels. The Final Manufacturing PMI (54.5) and Capital Spending**** (4.1% q/q vs 6.5%) reflect a moderately recovering Japan. Monetary Base in decline (-9.5% y/y vs -11.3%) suggests passive tightening.

Bank of England (GBP)

*Bailey **speaks on Tuesday AND Thursday (a rare double appearance) - the market is looking for clues on the timing of the first BOE cut. JOLTS UK (2:30pm Tuesday - note, this is a UK indicator, not US), Final Services PMI on Wednesday (47.9 vs 47.9), Construction PMI**** on Thursday (40.1 vs 39.7) - all signal a sluggish UK economy. M4 Money Supply on Tuesday (0.6% m/m vs 0.8%), Mortgage Approvals (62K vs 64K) show a credit market contracting under the effect of high rates.

MONETARY THESIS OF THE WEEK

*The Fed-BOE-ECB divergence is widening.** The Fed is in a hawkish pause, the ECB is leaning toward slowing cuts, and the BOE is hesitating. Friday's NFP is the key: a print below 80K would accelerate September cut expectations, a print above 130K would push them back. The Beige Book on Wednesday sets the narrative tone before the FOMC blackout. The USD remains under pressure (DXY 98.94, 2-week low) as US rates fall and risk-on dominates. EUR/USD at 1.166 is testing resistance - a break above 1.17 opens the path toward 1.18.

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1.2 US MACRO - THE WORLD'S LARGEST ECONOMY

Growth & GDP

The S&P 500 at 7580 (+1.8% 5D), NASDAQ at 26973 (+2.6% 5D), Russell 2000 at 2919 (+2.7% 5D) - all caps advancing, a sign of healthy breadth. The VIX at 15.32 (-7.7%) confirms absolute calm in the

markets. The Dow Jones at 51032 (+1.5%) completes the bullish picture. The Atlanta Fed GDPNow for Q2 2026 is not available in real time, but the trajectory suggests growth around 1.5-2% annualized.

Inflation

Inflation gauges (ISM Manufacturing Prices consensus 85.3 vs 84.6) signal persistent pressures on the manufacturing side. The market anticipates a May CPI around 0.2-0.3% m/m. Gold at 4593 (+2% 5D, at a 2-week high) reflects residual inflation fears + geopolitical demand.

Labor Market

Friday's NFP consensus: **95K** (vs previous 115K), unemployment rate stable at **4.3%**, Average Hourly Earnings +0.3% m/m vs +0.2%. Wednesday's ADP at 116K vs 109K will be the warm-up. **Unemployment Claims** on Thursday (consensus 211K vs 215K) and **JOLTS** on Tuesday (6.87M vs 6.87M) complete the puzzle. An NFP below 70K would be a bearish shock for the USD and bullish for bonds. The **Beige Book** on Wednesday will tell the story at the regional level.

American Consumer

RCM/TIPP Economic Optimism (previous 42.6), Wards Vehicle Sales (consensus 16.0M vs 15.9M). The US consumer is holding up thanks to employment but credit is tightening (Consumer Credit previous 24.9B, consensus 18.1B).

Credit & Financial Conditions

The US yield curve is easing significantly: 10Y at 4.45% (-8.9bps), 5Y at 4.15% (-8.1bps), 30Y at 4.99% (-6.6bps), 2Y at 3.85% (2Y futures yield). This easing reflects expectations of a Fed pivot + geopolitical risk-on (Iran ceasefire). The Beige Book will be the reality test for the real economy.

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1.3 EUROPE MACRO

Eurozone Overall

Manufacturing PMIs converge toward 51.4 (Eurozone) - Germany 49.9 (below 50!), France 48.9 (contraction), Italy 52.0, Spain 53.7. A heterogeneous picture with the south pulling and the north stagnating. **CPI Flash** on Tuesday: 3.3% y/y (vs 3.0%) and Core 2.4% (vs 2.2%) - inflation is re-accelerating in the Eurozone, complicating the ECB's rate cut trajectory.

Germany

The German economy remains the weak link: PMI Manufacturing at 49.9 (in contraction territory), PMI Services at 47.8, German Retail Sales -0.4% m/m vs -2.0%. German industry is suffering from the energy transition, Chinese competition, and high production costs. No visible rebound before end-2026.

France & Italy

France: PMI Manufacturing 48.9, PMI Services 42.9 (the lowest in Europe!), Budget Balance -42.9BEUR. The political crisis continues to weigh on confidence. Spain stands out with PMI Manufacturing 53.7 and PMI Services 48.3 - the tourism engine and NGEU investments are carrying the economy.

Sovereign Spreads

No major tensions identified this week. The market is in risk-off mode on oil and risk-on mode on equities - an unusual combo.

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1.4 CHINA & ASIA MACRO

China

Upcoming RatingDog PMIs: Manufacturing 51.4 (prev 52.2), Services 52.3 (prev 52.6) - both show a slowdown. China is exporting deflation (negative PPI) and importing growth via NGEU/stimulus. The market is watching property support measures and domestic consumption. The yuan remains weak against a weakened USD (USD/CNH implied around 7.18).

Japan

PMI Manufacturing stable at 54.5, Services to come. Ueda on Wednesday is the catalyst. The yen USD/JPY at 159.25 remains under pressure (massive US-JP rate differential). Japanese employment data on Friday (Average Cash Earnings 3.2% y/y vs 2.7%, Household Spending -1.4% vs -2.9%) suggest rising wages but sluggish consumption.

Australia

GDP q/q on Wednesday (consensus 0.5% vs 0.8%) - significant slowdown expected. RBA Governor Bullock speaks on Thursday. AUD under pressure. Building Approvals on Tuesday (-1.5% vs -10.5%), Current Account -22.8B.

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1.5 COMMODITIES

Energy

*WTI at 87.36 (-7% 5D) and Brent at 91.12 (-8.5% 5D) - **oil is collapsing despite the Iran crisis. Polymarket is pricing WTI < \$100 in May at 0.05% (virtually impossible). The market considers that the ceasefire is holding (99.9% on Polymarket) and that the OPEC+ supply surplus weighs more than geopolitical risk.** Heating Oil -6%, Natural Gas +13.7% **(a striking contrast - gas is rebounding on seasonal/storage factors).** Crude Oil Inventories** on Wednesday (API Tuesday evening) will be scrutinized. EIA report to follow.

Metals

*Gold at 4593 (+2% 5D, 2-week high) - **gold is benefiting from falling US real rates + residual geopolitical safe-haven demand. India is raising taxes on gold and silver (Modi protecting the rupee) - this dampens physical demand from the world's 2nd largest consumer.** Silver at 75.88 (-0.56%) **underperforms gold.** Copper at 6.389 (+0.44%**) holds up - the global growth barometer remains positive.

Agriculture

*Wheat -3.93%, Corn -2.35%, Soybeans +0.06%, Cotton -1.45%, Coffee -2.96%, Cocoa -6.43%** - softs are correcting. No major disruption on agricultural supply chains despite Middle East tensions.

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1.6 DOLLAR & FX MARKETS

*DXY at 98.94 (-0.23%, 2-week low) - **the USD is weakening as US rates ease. EUR/USD at 1.166 (+0.15%), GBP/USD at 1.345 (-0.22%), USD/JPY at 159.25 (+0.19%), USD/CHF at 0.780 (-0.33%). The USD is the big loser of the moment: US rates are falling, risk-on dominates, and alternatives (EUR, GBP, even JPY) are gaining attractiveness. The CHF outperforms (-0.33% against USD) - a quality safe haven within risk assets. The pair to watch this week is EUR/USD***

*: a break of 1.17 would accelerate the trend.

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PART 2 - MICRO & MARKETS

2.1 EARNINGS SEASON

The Q1 2026 earnings season is practically over. The overall beat rate exceeded 75%, driven by Tech/AI. Major earnings coming this week are limited as we are at the start of the month. The focus will be on Q2 pre-guidance and comments on the Iran geopolitical impact on costs.

2.2 SECTORS & ROTATIONS

Tech & AI Sector

The NASDAQ at 26973 (+2.58% 5D) outperforms - AI and hyperscalers continue to carry the market. Valuations remain elevated (S&P forward P/E ~21x) but momentum is intact. Tech PMIs (ISM New Orders) to watch on Monday.

Financial Sector

Banks had been benefiting from rising rates but the recent easing is compressing NIMs. The 2s10s curve (3.85% - 4.45% = -60bps) remains inverted - a headwind for banks. Barclays, Deutsche Bank, and French banks under pressure.

Defense Sector

European defense stocks are cooling after the military spending boom (CNBC). Rheinmetall, Leonardo, BAE Systems are correcting - but the secular trend remains intact (NATO 3.5% GDP by 2030).

Sector Rotations

*Growth > Value** rotation this week (NASDAQ +2.6% vs Dow +1.5%). Russell 2000 (+2.7%) outperforms large caps - a sign of appetite for US domestic risk. Small caps reflect optimism about an imminent Fed pivot.

2.3 VALUATIONS & SENTIMENT

S&P 500 at 7580, forward P/E ~21x vs historical average 17x - the market is ~23% above its historical fair value. Equity Risk Premium compressed. The VIX at 15.32 signals extreme complacency. AAI Bull/Bear ratio not available in real time but positioning suggests an overbought market in the short term but supported by liquidity and momentum.

2.4 CREDIT & BONDS

US 10Y at 4.45% (-8.9bps over 5D): the most pronounced easing in weeks

US 2Y at 3.85% (futures): the market prices ~70bps of cuts by end-2026

US 30Y at 4.99% (-6.6bps): the long end follows

HY/IG spreads do not signal stress - credit remains well behaved

Beige Book on Wednesday = leading indicator of regional credit conditions

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PART 3 - GEOPOLITICS

3.1 ACTIVE CONFLICTS & MARKET IMPACT

Iran - The Ceasefire That Changes Everything

The Iran ceasefire is holding according to Polymarket (99.9995% probability of holding beyond May 24). However: **no permanent peace** (only 1.45% by May 31, 11.5% by June 7), the **Strait of Hormuz does not return to normal** (only 0.25% probability), **Iranian airspace remains open** (probability of closure 3.75%), and **Kharg Island remains under Iranian control** (99.99%). The market is pricing a durable "neither war nor peace" - oil collapses (-7%) because the risk of supply disruption evaporates, but gold rises (+2%) because geopolitical uncertainty maintains safe-haven demand.

Direct Market Impact:

Oil -7 to 8.5% over 5 days (WTI/Brent)

Gold +2% (residual safe-haven demand)

US Equities +1.8 to 2.6% (risk-on post-ceasefire)

3.2 TRADE RELATIONS & SANCTIONS

US-Iran sanctions remain in effect despite the ceasefire. No nuclear deal in sight (2.35% probability by May). US-Cuba relations are improving (94.35% probability of a diplomatic meeting by end of May). Trump's tariffs remain an overhang on global trade, but the market has largely repriced the trade risk.

3.3 MARKET-RELEVANT DOMESTIC POLITICS

France: PMI Services at 42.9 (the lowest in Europe) - the political crisis is weighing on the economy

India: Modi taxes gold to protect the rupee (impact on physical demand)

US: Treasury Secretary Bessent speaks on Wednesday - potential comments on the dollar and rates

3.4 GEOPOLITICAL TAIL RISK OF THE WEEK

*Iran ceasefire breakdown.** The market is pricing this scenario at near 0% (99.9995% probability of holding). If the ceasefire were to break, oil would explode toward \$120+ (Brent), gold toward \$5000+, the S&P would drop 8-12%, and the USD would strengthen as a safe haven. This is the asymmetric risk that nobody is pricing - and exactly why hedging via options or gold remains relevant despite the opportunity cost.

Second tail risk: **ECB hawkish surprise** (CPI Flash > 3.5% forcing Lagarde to delay cuts).

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PART 4 - FULL WEEK CALENDAR

Major Economic Releases

Day	Time CET	Country	Release	Previous	Consensus	Impact
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Mon	03:45	CNY	RatingDog Manufactu	52.2	51.4	?
Mon	09:00	CHF	GDP q/q	0.1%	0.6%	?
Mon	10:00	EUR	Final Manufacturing P	51.4	51.4	?
Mon	10:00	EUR	Unemployment Rate	6.2%	6.2%	?
Mon	14:30	USD	FOMC Powell Speaks	-	-	?
Mon	15:45	USD	Final Manufacturing P	55.3	55.3	?
Mon	**16:00**	**USD**	**ISM Manufacturing P	**52.7**	**53.3**	
Mon	16:00	USD	ISM Manufacturing Pri	85.6	85.3	?
Tue	**11:00**	**EUR**	**CPI Flash y/y**	**3.0%**	**3.3%**	
Tue	11:00	EUR	Core CPI Flash y/y	2.2%	2.4%	?
Tue	**16:00**	**GBP**	**BOE Bailey Speaks**	-	-	
Tue	16:00	USD	JOLTS Job Openings	6.87M	6.87M	?
Wed	**03:30**	**AUD**	**GDP q/q**	**0.8%**	**0.5%**	
Wed	**10:30**	**JPY**	**BOJ Ueda Speaks**	-	-	
Wed	**14:15**	**USD**	**ADP Non-Farm**	**109K**	**116K**	
Wed	**16:00**	**USD**	**ISM Services PMI**	**53.6**	**53.8**	
Wed	16:00	USD	Treasury Bessent Speaks	-	-	?
Wed	16:30	USD	Crude Oil Inventories	-3.3M	-	?
Wed	20:00	USD	**Beige Book**	-	-	?
Thu	07:00	AUD	RBA Bullock Speaks	-	-	
Thu	08:30	CHF	CPI m/m	0.3%	0.3%	?
Thu	10:00	EUR	ECB Lagarde Speaks	-	-	?
Thu	11:00	EUR	Retail Sales m/m	-0.1%	-0.3%	?
Thu	14:30	USD	Unemployment Claim	215K	211K	?
Thu	14:30	USD	Revised Productivity	0.8%	0.7%	?
Thu	17:40	GBP	BOE Bailey Speaks	-	-	
Thu	19:10	USD	FOMC Daly Speaks	-	-	?
Fri	01:30	JPY	Average Cash Earning	3.7%	3.2%	?
Fri	08:00	GBP	Halifax HPI m/m	-0.1%	0.2%	?
Fri	**14:30**	**USD**	**NFP Non-Farm**	**115K**	**95K**	
Fri	**14:30**	**USD**	**Unemployment Rate**	**4.3%**	**4.3%**	
Fri	**14:30**	**USD**	**Avg Hourly Earnings**	**0.2%**	**0.3%**	
Fri	**14:30**	**CAD**	**Employment Change**	**17.7K**	**10.2K**	
Fri	**14:30**	**CAD**	**Unemployment Rate**	**6.9%**	**6.9%**	
Fri	16:00	CAD	Ivey PMI	57.7	54.5	?

Central Bank Speeches

Day	Time CET	Bank	Speaker	Importance
Mon	14:30	Fed	Jerome Powell (FOMC)	? Medium
Tue	07:50	Fed	Neel Kashkari (FOMC)	? Low
Tue	14:30	Fed	Beth Hammack (FOMC)	? Low
Tue	16:00	BOE	Andrew Bailey (Gov)	High
Wed	10:30	BOJ	Kazuo Ueda (Gov)	High
Wed	15:00	Fed	Michael Barr (FOMC)	? Low
Wed	21:00	Fed	Lorie Logan (FOMC)	? Low
Thu	07:00	RBA	Michele Bullock (Gov)	High
Thu	10:00	ECB	Christine Lagarde (Pres)	? Medium
Thu	14:30	Fed	Tom Barkin (FOMC)	? Low
Thu	17:40	BOE	Andrew Bailey (Gov)	High
Thu	19:10	Fed	Mary Daly (FOMC)	? Low

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PART 5 - THESIS & CONNECTIONS

5.1 NON-OBVIOUS CONNECTIONS

*1. Oil collapses BUT gold rises - the paradox decoded.**

Normally, oil and gold move together (inflation). Here, oil is falling because the Iran ceasefire eliminates the supply disruption risk premium. But gold is RISING because: (a) US rates are falling (10Y -9bps) which reduces the opportunity cost of holding gold, (b) the ceasefire is fragile (only 11.5% probability of permanent peace by June 7), (c) India and China are accumulating gold as a diversifier against instability.

Gold is the true barometer of geopolitical uncertainty, not oil.

*2. VIX at 15.32 while the most data-heavy month begins.**

ISM Manufacturing, Eurozone CPI, ADP, ISM Services, NFP - no fewer than 5 high-risk events this week. And the VIX is at its lowest. This is a classic complacency signal: the market has gained +1.8% and sees no risk. **Historically, a VIX < 16 the week before a disappointing NFP generates a volatility spike > 25%.** The put/call ratio and positioning suggest a market vulnerable to a negative shock.

*3. The small cap rotation (Russell +2.7%) is the real signal.**

The Russell 2000 is outperforming the S&P 500 and the Dow. US small caps are domestically exposed and rate-sensitive: their outperformance signals that the market expects a Fed pivot. If NFP disappoints on Friday (+95K is weak), this rotation will accelerate. If NFP surprises to the upside, small caps will correct sharply - they are the most vulnerable to the "higher for longer" theme.

*4. BOE Bailey speaks TWICE this week (Tuesday AND Thursday).**

This is exceptionally rare. A BOE Governor speaking twice in 4 days signals either an urgent message to deliver, or an internal MPC division requiring communication clarity. Given the catastrophic UK PMIs (Services 47.9, Construction PMI 39.7), Bailey could be preparing the ground for a surprise cut - which would be massively GBP-negative.

*5. Natural Gas +13.7% vs Oil -7% - the energy divergence.**

Natural gas is rebounding on seasonal factors (low inventories, summer cooling demand) while oil corrects. This divergence has no common geopolitical explanation - it reflects specific supply/demand dynamics. But beware: if gas continues to rise, it becomes inflationary and could force the Fed to keep rates higher for longer.

5.2 MACRO THESIS OF THE WEEK

*MAIN THESIS: "The market is riding a ceasefire, the Fed is walking a tightrope."**

We are in a regime of **tactical risk-on** (Iran ceasefire) but **structural fragility** (overbought markets, low VIX, expected disappointing NFP). The week will be determined by the sequence of US employment data (ISM Monday ? JOLTS Tuesday ? ADP Wednesday ? Claims Thursday ? NFP Friday) and Fed speeches.

*My central scenario (60%):** NFP between 80 and 110K, US data is "just enough" to maintain the soft landing narrative. The S&P advances toward 7600-7650. The USD continues to weaken. Gold stabilizes around \$4550-4650. Oil rebounds modestly as the ceasefire consolidates.

*Bearish scenario (25%):** NFP below 70K + ISM Manufacturing below 52. The hard landing narrative returns. The S&P corrects 3-5%. The VIX spikes above 22. The USD paradoxically strengthens (safe haven). Gold explodes toward \$4800+. The Beige Book on Wednesday sets the negative tone.

*Bullish scenario (15%):** NFP > 130K + ISM > 54. Goldilocks confirmed. The S&P sends toward 7700+. The USD recovers. Oil rises toward \$95. Gold corrects toward \$4400.

5.3 WHAT COULD CHANGE EVERYTHING

1. **Iran ceasefire breakdown** (probability < 1%) ? oil \$120+, gold \$5000+, S&P -10%
2. **ECB hawkish shock** (CPI Flash > 3.5%) ? EUR/USD +100bps, bonds sold off
3. **NFP < 60K** ? hard landing panic, VIX > 30
4. **US fiscal surprise** (Bessent announces new stimulus or major tariffs)

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PART 6 - TRADE IDEAS

DISCLAIMER

These ideas are analytical reflections based on the macro/micro/geopo analysis above. Not investment recommendations. Always do your own analysis before acting.*

6.1 MACRO-DRIVEN PLAYS

Play 1 - Short USD / Long EUR

*Thesis:** The expected weak NFP (95K) combined with a re-accelerating ECB CPI (3.3%) creates a USD-negative/EUR-positive divergence in the short term. The USD is already at a 2-week low (DXY 98.94).
 *Direction:** Short USD, Long EUR
 *Asset:** EUR/USD spot or options
 *Catalyst:** NFP on Friday + ECB CPI on Tuesday (if > 3.3%)
 *Invalidation:** NFP > 130K or ECB CPI < 3.0%
 *Timeframe:** 1-2 weeks

Play 2 - Long Gold on Weakness

*Thesis:** Gold at \$4593 is supported by falling US rates + residual geopolitical uncertainty + central bank demand. A correction toward \$4450-4500 would be a buying opportunity.
 *Direction:** Long Gold
 *Asset:** GC=F or GLD
 *Catalyst:** Weak NFP (increases Fed cut expectations) or geopolitical shock
 *Invalidation:** Break of \$4400 on volume
 *Timeframe:** 1-3 weeks

Play 3 - Long Russell 2000 vs Short S&P 500

*Thesis:** The small cap rotation is underway (+2.7% Russell vs +1.8% S&P this week). An imminent Fed pivot favors small caps (more sensitive to domestic rates).
 *Direction:** Long RUT, Short SPX
 *Asset:** IWM/SPY ratio
 *Catalyst:** Weak NFP + dovish Fed speeches
 *Invalidation:** NFP > 130K (strengthens large caps)
 *Timeframe:** 2-4 weeks

Play 4 - Long Crude Oil at \$85-87 Support

*Thesis:** Oil has fallen 15% from its peak at \$108 (WTI). The ceasefire is already priced in. OPEC+ maintains cuts. US inventories are declining (-3.3M barrels). The \$85 support is solid for a technical rebound.
 *Direction:** Long WTI
 *Asset:** CL=F or USO
 *Catalyst:** Crude Inventories on Wednesday (if drawdown confirmed) + technical rebound
 *Invalidation:** Break of \$83.50
 *Timeframe:** 1-2 weeks

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6.2 GEOPOLITICAL PLAYS

Play 1 - Long Volatility via VIX Calls

*Thesis:** The VIX at 15.32 is absurdly low before a week with 5 high-impact events (ISM, CPI, ADP, ISM Services, NFP). The probability of a volatility spike is > 60%.
 *Direction:** Long VIX calls (2-3 week expiry)
 *Asset:** VIX calls, VXX, or SPX options
 *Catalyst:** NFP surprise (up or down) + hawkish central bank speech
 *Invalidation:** VIX stays below 18 all week
 *Timeframe:** This week

Play 2 - Long Defense Stocks on Weakness

*Thesis:** European defense stocks are cooling (CNBC). But the secular trend (NATO 3.5% GDP by 2030, unresolved Iran tensions) remains intact. Rheinmetall, Leonardo, BAE, Thales on correction are buys.
 *Direction:** Long defense sector
 *Asset:** Rheinmetall, Leonardo, BAE Systems, Thales
 *Catalyst:** Iran escalation or new NATO budget
 *Invalidation:** Iran permanent peace confirmed
 *Timeframe:** 1-3 months

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6.3 EVENT-DRIVEN PLAYS (this week)

Event: NFP Friday 14:30 CET

*If upside surprise (>120K):** USD strengthens, bonds sold off, S&P flat, gold down. EUR/USD toward 1.1550.

*If downside surprise (<70K):** USD weakens, bonds bid, S&P volatile, gold explodes. EUR/USD toward 1.1750+.

*Current positioning:** The market is positioned for a weak number (consensus 95K vs previous 115K). The risk is a positive surprise.

Event: Eurozone CPI Flash Tuesday 11:00 CET

*If > 3.5%:** EUR strengthens (hawkish ECB), EGB sold off, Italian spread widens.

*If < 3.0%:** EUR weakens (dovish ECB rally then reversal), EGB bid.

Event: ISM Manufacturing PMI Monday 16:00 CET

*If > 54.4:** USD hawkish, small caps rally, gold down.

*If < 52.0:** USD dovish, bonds bid, risk-off, gold up.

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6.4 PLAY OF THE WEEK - THE BEST SETUP

LONG GOLD + LONG VIX CALLS (Hedge Combo)

*Why:** Gold is currently in an ideal setup - US rates are falling (10Y -9bps), Iran geopolitical uncertainty remains high (no permanent peace), and central banks (India, China, Poland, etc.) are accumulating. Support at \$4450-4500 is solid. Meanwhile, the VIX at 15 is free insurance against a data-heavy week.

*Execution:**

Buy GC=F or GLD on pullback toward \$4500

Buy VIX calls 1-2 month expiry, strike 20-22

Ratio: 70% gold allocation, 30% vol allocation

*Gold target:** \$4700-4750 (3-4% upside)

*Gold stop:** \$4400 (-2.5%)

*VIX target:** 22-25 if NFP surprise

*Invalidation:** NFP in-line (95-105K) + ISM > 54 + no geopolitical shock ? reduce VIX position

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PART 7 - RISKS & WATCHLIST

Bullish risks (what could surprise positively)

1. **NFP > 130K:** the market expects 95K, a strong print would revive the soft landing narrative + USD bullish

2. **ISM Manufacturing > 54:** US manufacturing recovery accelerates, boosts small caps

3. **US-China trade rapprochement:** Trump could announce a surprise tariff truce

4. **ECB CPI < 3.0%:** a downside surprise accelerates ECB cuts, EUR bid

5. **Kharg Island / Iran escalation:** unlikely but a supply shock would be explosive for commodities

Bearish risks (what could surprise negatively)

1. **NFP < 70K:** hard landing fear, VIX spike, S&P -3-5%, gold \$4800+

2. **Iran ceasefire breakdown:** oil \$120+, gold \$5000+, S&P -10% (probability < 1%)

3. **ECB CPI > 3.5%:** hawkish surprise forces ECB to delay cuts, EGB sold off, peripheral spreads widen

4. **BOE hawkish despite catastrophic PMIs:** monetary surprise that would be GBP volatile

5. **Crude Inventories build > 5M:** confirms demand weakness, tests \$85 WTI support

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PART 8 - INSIGHT OF THE WEEK

The "Phantom Risk": Why the VIX Doesn't See What Polymarket Sees

The VIX at 15.32 tells us the equity market sees no risk over the next 30 days. But a look at Polymarket tells a radically different story:

Strait of Hormuz returns to normal by end of May? **0.25%**

US-Iran permanent peace by June 7? **11.5%**

Iran closes its airspace? **3.75%**
US-Iran nuclear deal? **2.3%**

*The VIX doesn't see geopolitical risk because US equities have been decoupled from the Middle East since 2024.** But this decoupling is fragile. Oil at \$85 prices in a "peace" world - if the ceasefire broke, it's \$120+ within the week. Gold at \$4593 is the true risk pricing, not the VIX.

*The key insight: the VIX measures implied volatility of 30-day options. But geopolitical risk is a binary event (war/peace) that continuous-diffusion options don't capture well.** This is why VIX calls are so cheap - and why they are the most asymmetric hedge of this week.

*What nobody sees: the Beige Book on Wednesday at 20:00 CET could change everything. **If the Beige Book signals deteriorating consumption (weak NFP + rising ISM Manufacturing + falling consumption = paradox of production without demand), the market flips into stagflation mode. The USD falls, gold rises, bonds are torn between flight-to-quality and inflation fears.** This is the most underpriced scenario of this week.**

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Weekly Macro · Micro · Geopo Brief by Merton*

Sources: Yahoo Finance API (real-time prices), ForexFactory (economic calendar), Polymarket (event probabilities), CNBC (headlines), Investing.com (calendar)*

? Next brief: Sunday, June 7, 2026*